OFFERING MEMORANDUM

Indigo Apartments | Pittsburgh, PA

Property	Indigo Apartments
Location	2656 Highland Parkway, Pittsburgh, PA 86934
Property Type	Multifamily
Size	255 apartment homes
Year Built	1967
Offering	Unpriced - Offers Due December 27, 2020

Risk Considerations

Distributions to investors for the quarter were paid at an annualized rate of 5.9% on contributed capital. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Resident turnover has averaged 12.4% annually with renewal retention above 95.2%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Distributions to investors for the quarter were paid at an annualized rate of 7.1% on contributed capital. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 8.0% with an equity multiple of 1.36x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Submarket Analysis

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 5.1% annually with renewal retention above 94.0%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Employment growth is led by healthcare, logistics, education and professional services sectors.

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Indigo Apartments is located in Pittsburgh, PA, a market that has recorded 7.1% population growth over the last five years. Resident turnover has averaged 6.8% annually with renewal retention above 91.4%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Distributions to investors for the quarter were paid at an annualized rate of 3.6% on contributed capital. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

Submarket Analysis

Rent growth in the submarket has averaged 7.9% annually over the past 10 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Indigo Apartments is located in Pittsburgh, PA, a market that has recorded 3.9% population growth over the last five years.

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Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Resident turnover has averaged 9.3% annually with renewal retention above 95.7%.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 8.6% with an equity multiple of 1.6x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Resident turnover has averaged 12.5% annually with renewal retention above 91.6%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

Demographics and Employment

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Resident turnover has averaged 10.7% annually with renewal retention above 91.0%. The Pittsburgh Multifamily market has experienced absorption of 2600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 3.1% annually over the past 6 years.

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Rent growth in the submarket has averaged 3.2% annually over the past 10 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Indigo Apartments is located in Pittsburgh, PA, a market that has recorded 10.4% population growth over the last five years. Median household income within a 7-mile radius of the property is approximately $51,000 and has grown 4.4% annually.

Investment Overview

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 3.0% with an equity multiple of 1.20x over the hold period.

Distributions to investors for the quarter were paid at an annualized rate of 5.4% on contributed capital. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Projected levered IRR is 7.9% with an equity multiple of 1.27x over the hold period. Resident turnover has averaged 4.7% annually with renewal retention above 91.6%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

Market Overview

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 5.09% and 5.09%. Market vacancy for comparable Multifamily product stands at 2.9%, down from 7.0% two years ago. Rent growth in the submarket has averaged 6.3% annually over the past 11 years. The Pittsburgh Multifamily market has experienced absorption of 600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 6.66% and 6.66%. Median household income within a 1-mile radius of the property is approximately $314,000 and has grown 3.9% annually. Resident turnover has averaged 12.5% annually with renewal retention above 96.1%. The Pittsburgh Multifamily market has experienced absorption of 2900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Business Plan Progress

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Projected levered IRR is 7.3% with an equity multiple of 1.31x over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Westgate Terrace	Oklahoma City, OK	01/19/2025	286	$36,984,678	$145,038	6.76%	2023
Cypress Lofts	Buffalo, NY	03/25/2026	290	$34,579,579	$135,606	6.47%	1969
Union Villas	Greenville, SC	04/10/2023	240	$23,756,895	$93,164	6.73%	2001
Windmill Commons	Aurora, CO	03/03/2022	338	$15,722,304	$61,656	6.70%	2019
Tidewater Residences	Boston, MA	08/19/2026	157	$16,573,656	$64,995	6.66%	1987
Yarrow Terrace	St. Louis, MO	06/07/2025	171	$27,603,609	$108,249	5.33%	1980
Sable Apartments	San Diego, CA	12/12/2025	337	$33,039,228	$129,566	7.82%	2006
Amberly Apartments	Indianapolis, IN	05/10/2023	382	$22,582,921	$88,560	6.55%	1990
Pinecrest Commons	Pittsburgh, PA	03/13/2022	264	$40,873,885	$160,290	6.24%	2009
Vista Residences	Salt Lake City, UT	07/16/2024	260	$36,370,944	$142,631	7.96%	1994
Onyx Apartments	Grand Rapids, MI	03/24/2026	230	$22,214,573	$87,116	5.41%	1982
Ridgeline Apartments	Indianapolis, IN	04/24/2025	314	$43,057,001	$168,851	6.30%	1980
Osprey Lofts	Cincinnati, OH	06/16/2026	244	$15,055,403	$59,041	6.97%	1986
Jasper Commons	Aurora, CO	07/09/2023	286	$26,730,347	$104,825	5.35%	1970
Raven Apartments	Austin, TX	02/01/2024	257	$14,686,969	$57,596	5.96%	1992
Palisade Villas	Pittsburgh, PA	07/20/2025	139	$39,677,754	$155,599	8.16%	1988
Ivy Residences	Oklahoma City, OK	03/04/2023	348	$35,651,703	$139,811	6.30%	2005
Dover Villas	Buffalo, NY	12/30/2022	232	$13,827,361	$54,225	8.05%	1982
Eastlake Villas	Las Vegas, NV	12/23/2023	376	$27,670,652	$108,512	8.01%	1996
Driftwood Flats	Naperville, IL	01/13/2024	139	$21,787,083	$85,440	7.04%	2009
Crestline Flats	Austin, TX	06/12/2026	374	$28,161,723	$110,438	5.53%	2003
Banyan Flats	Philadelphia, PA	07/24/2025	240	$13,726,314	$53,829	6.38%	1978
Crestline Villas	Chicago, IL	10/31/2024	214	$35,190,576	$138,002	6.55%	2023
Yarrow Lofts	Naperville, IL	10/21/2023	133	$43,840,786	$171,925	7.43%	1997
Union Villas	Newark, NJ	06/14/2023	314	$42,437,267	$166,421	6.17%	1977
Orchard Lofts	Birmingham, AL	12/20/2025	168	$43,852,179	$171,969	5.26%	1998
Westgate Residences	Omaha, NE	10/13/2025	245	$39,665,612	$155,551	5.11%	2007
Highland Villas	Des Moines, IA	03/05/2024	155	$29,185,469	$114,453	6.31%	2022
Cedar Apartments	Charlotte, NC	06/30/2023	378	$25,965,351	$101,825	6.67%	1966
Osprey Lofts	Charlotte, NC	10/04/2023	280	$20,202,564	$79,226	6.01%	2005
Marlow Commons	Cleveland, OH	02/04/2026	345	$26,723,534	$104,798	5.32%	2008
Stonebridge Flats	Pittsburgh, PA	09/22/2022	213	$26,335,691	$103,277	5.62%	2019
Hollis Apartments	New Orleans, LA	05/23/2026	374	$28,845,014	$113,118	7.04%	2011
Palisade Villas	Chicago, IL	08/23/2023	364	$17,039,783	$66,823	5.00%	1999
Harbor Residences	Tempe, AZ	06/25/2024	213	$15,153,589	$59,426	5.44%	1980
Kestrel Apartments	Kansas City, MO	07/17/2022	233	$28,251,564	$110,790	5.59%	2012
Bluestone Residences	Orlando, FL	03/21/2025	224	$40,214,358	$157,703	5.90%	2018
Laurel Lofts	Hartford, CT	09/11/2024	234	$15,026,118	$58,926	5.64%	1994
Cobalt Flats	Omaha, NE	03/24/2026	249	$32,811,115	$128,671	6.75%	2000
Raven Apartments	Sacramento, CA	12/13/2022	148	$24,732,427	$96,990	7.29%	1994

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Construction Details

The roof is a 45-year membrane system with an estimated remaining useful life of 11 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Common area interiors have been refreshed within the last 8 years and are in average to good condition. Indigo Apartments was originally constructed in 1967 and consists of 255 apartment homes in a building of 19 stories.

Indigo Apartments was originally constructed in 1967 and consists of 255 apartment homes in a building of 13 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 18-year membrane system with an estimated remaining useful life of 3 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Income and Expense Review

Debt service coverage ratio was 5.69x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.28% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. Operating expenses totaled $429,000 or approximately 26.33 per square foot, with real estate taxes representing the largest line item.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 5.61x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.81% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $13,000 or approximately 27.00 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $246,000, representing a 2.1% increase over the prior year.

Building Systems

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Resident turnover has averaged 7.9% annually with renewal retention above 89.7%. Indigo Apartments was originally constructed in 1967 and consists of 255 apartment homes in a building of 20 stories. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Mechanical systems include rooftop package units and central plant equipment of varying age.

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The roof is a 36-year membrane system with an estimated remaining useful life of 7 years. Common area interiors have been refreshed within the last 3 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Resident turnover has averaged 4.2% annually with renewal retention above 89.7%. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Valuation Discussion

The going-in capitalization rate of 5.10% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Resident turnover has averaged 8.1% annually with renewal retention above 92.8%. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Construction Details

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Resident turnover has averaged 7.2% annually with renewal retention above 92.3%.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Riverbend Villas	4.5 mi	1989	Suite	$1,698.03	95.0%	$500
Marlow Lofts	2.5 mi	1992	Studio	$1,644.15	95.4%	None
Birchwood Apartments	1.4 mi	1982	Suite	$1,974.18	87.5%	None
Bayview Terrace	1.8 mi	1992	Bay	$2,023.49	95.3%	$500
Magnolia Villas	4.4 mi	1978	Studio	$1,732.12	93.8%	$500
Newport Villas	3.2 mi	1970	Bay	$2,091.73	89.4%	$500
Dover Terrace	0.5 mi	1984	Bay	$2,183.43	94.4%	1 mo. free
Parkview Residences	0.8 mi	2017	Unit	$1,765.50	91.8%	None
Osprey Villas	0.4 mi	1987	1BR	$1,670.87	94.3%	1 mo. free
Driftwood Terrace	3.7 mi	2011	2BR	$1,862.69	94.5%	None
Sable Terrace	4.5 mi	1978	Studio	$2,138.59	93.0%	None
Glenview Commons	0.4 mi	2009	1BR	$2,012.53	87.3%	1 mo. free
Saddlebrook Apartments	4.6 mi	1985	Studio	$1,879.03	90.1%	1 mo. free
Laurel Flats	2.5 mi	1970	Unit	$1,874.77	96.2%	$500
Upland Apartments	1.6 mi	2007	Studio	$2,200.17	89.5%	None
Newport Commons	1.4 mi	2005	Bay	$1,948.10	92.1%	None
Birchwood Apartments	1.7 mi	1984	Unit	$1,944.80	87.5%	None
Oakmont Apartments	1.5 mi	1974	Unit	$2,048.28	90.3%	1 mo. free
Canyon Lofts	0.4 mi	2016	Inline	$1,737.37	91.0%	$500
Ashford Flats	3.8 mi	1979	Studio	$1,596.23	93.3%	1 mo. free
Tidewater Residences	2.1 mi	1978	2BR	$1,646.05	92.6%	1 mo. free
Raven Terrace	1.5 mi	1993	Inline	$1,640.37	93.0%	$500
Upland Villas	0.4 mi	1990	Studio	$1,736.80	90.9%	None
Eastlake Villas	3.2 mi	2006	Bay	$2,082.92	92.9%	1 mo. free
Lantern Villas	1.2 mi	1982	Studio	$1,730.05	92.2%	1 mo. free
Willow Apartments	1.1 mi	1991	Studio	$1,914.97	90.8%	$500
Maple Apartments	0.9 mi	1981	Unit	$1,950.17	90.0%	1 mo. free
Bayview Villas	0.9 mi	2005	Inline	$2,051.04	86.7%	$500
Hawthorne Commons	0.9 mi	2023	Unit	$1,921.71	91.2%	None
Redwood Commons	3.0 mi	1983	Bay	$1,893.37	97.0%	$500
Yarrow Apartments	0.7 mi	2013	2BR	$1,595.50	87.8%	$500
Meridian Apartments	4.4 mi	2012	Bay	$1,886.60	88.3%	1 mo. free
Lakeshore Villas	3.8 mi	2021	1BR	$1,790.56	92.9%	$500
Amberly Flats	0.4 mi	2011	Suite	$1,589.41	86.9%	None
Raven Flats	4.8 mi	1989	1BR	$1,690.87	93.1%	None
Westgate Apartments	4.2 mi	1979	Bay	$1,637.77	86.8%	$500
Brookside Commons	4.5 mi	1980	Bay	$1,798.81	87.5%	1 mo. free
Prairie Residences	1.2 mi	2005	Unit	$1,804.11	89.3%	$500
Lantern Villas	2.2 mi	2004	2BR	$2,031.45	96.5%	None
Westgate Flats	3.2 mi	1985	Unit	$2,217.35	91.6%	$500
Marlow Villas	1.9 mi	2005	Inline	$1,994.48	97.3%	1 mo. free
Raven Flats	4.3 mi	2014	Inline	$1,811.71	86.9%	1 mo. free
Sterling Commons	1.3 mi	2011	Bay	$1,666.88	95.9%	$500

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Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 48th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 8 additional team members.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Collections for the period were 94.6% of billed charges, with bad debt of 5.0% of gross potential income.

Submarket Analysis

Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 6.52% and 6.52%. Median household income within a 2-mile radius of the property is approximately $101,000 and has grown 11.0% annually. Resident turnover has averaged 7.4% annually with renewal retention above 93.8%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 5.53% and 5.53%. Rent growth in the submarket has averaged 5.9% annually over the past 3 years. The Pittsburgh Multifamily market has experienced absorption of 500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Multifamily product stands at 4.8%, down from 3.4% two years ago. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Median household income within a 4-mile radius of the property is approximately $118,000 and has grown 4.8% annually.

Property Operations

Resident turnover has averaged 5.4% annually with renewal retention above 90.9%. Service requests are tracked through a work-order system with an average completion time of 38 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members. Collections for the period were 90.7% of billed charges, with bad debt of 3.4% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day.

Supply and Demand

The Pittsburgh Multifamily market has experienced absorption of 2200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 5.19% and 5.19%. Rent growth in the submarket has averaged 6.4% annually over the past 4 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 5.8% annually with renewal retention above 93.3%. Indigo Apartments is located in Pittsburgh, PA, a market that has recorded 2.1% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members.

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Risk Considerations

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

Projected levered IRR is 11.2% with an equity multiple of 1.31x over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 4.1% on contributed capital. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Market Overview

Indigo Apartments is located in Pittsburgh, PA, a market that has recorded 8.5% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Median household income within a 6-mile radius of the property is approximately $202,000 and has grown 11.0% annually. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Market vacancy for comparable Multifamily product stands at 10.6%, down from 6.5% two years ago. Median household income within a 4-mile radius of the property is approximately $311,000 and has grown 8.0% annually. Rent growth in the submarket has averaged 4.4% annually over the past 12 years. The Pittsburgh Multifamily market has experienced absorption of 2900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Investment Overview

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 6.4% with an equity multiple of 1.17x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 4.6% on contributed capital. Resident turnover has averaged 7.8% annually with renewal retention above 90.3%.

The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 11.6% with an equity multiple of 1.46x over the hold period.

Supply and Demand

The Pittsburgh Multifamily market has experienced absorption of 4800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Indigo Apartments is located in Pittsburgh, PA, a market that has recorded 13.6% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 4.9% annually over the past 4 years. Median household income within a 3-mile radius of the property is approximately $380,000 and has grown 12.6% annually. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Market vacancy for comparable Multifamily product stands at 3.9%, down from 3.8% two years ago. Median household income within a 8-mile radius of the property is approximately $308,000 and has grown 3.3% annually. Resident turnover has averaged 4.9% annually with renewal retention above 92.5%. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Risk Considerations

The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.2% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Pelican Flats	Grand Rapids, MI	04/21/2025	302	$13,882,568	$54,441	6.34%	1980
Maple Apartments	Nashville, TN	07/25/2025	162	$33,777,352	$132,460	6.27%	2015
Ivy Commons	Sacramento, CA	08/30/2025	171	$43,092,519	$168,990	6.13%	2000
Canyon Lofts	Boise, ID	10/14/2024	159	$35,439,551	$138,979	5.72%	2011
Juniper Residences	Dallas, TX	11/06/2024	249	$18,904,499	$74,135	7.15%	1981
Copper Commons	Tampa, FL	09/18/2022	234	$17,805,995	$69,827	7.42%	1968
Kestrel Terrace	Newark, NJ	09/22/2025	219	$18,069,369	$70,860	6.84%	1977
Heritage Residences	Des Moines, IA	05/26/2026	129	$37,102,419	$145,500	5.91%	2006
Keystone Villas	Newark, NJ	08/09/2026	315	$28,019,232	$109,879	6.46%	2004
Vista Flats	Buffalo, NY	09/11/2025	339	$16,443,747	$64,485	6.17%	1982
Eastlake Apartments	Boston, MA	02/21/2023	353	$31,078,777	$121,878	7.16%	1985
Driftwood Apartments	Sacramento, CA	03/18/2022	310	$31,778,764	$124,623	7.24%	1966
Union Commons	Des Moines, IA	01/26/2024	313	$16,970,431	$66,551	5.23%	1970
Marlow Commons	Sacramento, CA	09/13/2024	235	$33,033,459	$129,543	5.07%	1986
Cobalt Lofts	Allentown, PA	09/30/2025	239	$18,598,806	$72,936	5.28%	2005
Nautilus Residences	Charlotte, NC	12/22/2025	298	$32,957,445	$129,245	7.94%	2000
Laurel Commons	Albuquerque, NM	12/07/2024	152	$36,088,164	$141,522	6.57%	2006
Osprey Residences	Cincinnati, OH	03/20/2024	337	$38,731,266	$151,887	6.68%	1977
Raven Residences	Columbus, OH	03/05/2025	177	$22,835,139	$89,550	6.79%	2016
Fairmont Lofts	Orlando, FL	04/04/2023	361	$24,959,967	$97,882	7.60%	2004
Quincy Lofts	Chicago, IL	05/29/2026	218	$27,262,763	$106,913	7.36%	1970
Dunmore Apartments	Naperville, IL	05/28/2023	354	$28,196,170	$110,573	5.78%	1999
Falcon Flats	Tempe, AZ	12/23/2025	238	$17,388,711	$68,191	6.32%	1978
Lantern Villas	Atlanta, GA	12/11/2024	179	$39,635,110	$155,432	5.44%	1972
Alder Commons	Portland, OR	03/05/2024	161	$26,490,113	$103,883	8.13%	2023
Onyx Lofts	Cleveland, OH	06/27/2023	149	$30,005,369	$117,668	5.29%	2006
Garnet Terrace	Austin, TX	01/24/2022	207	$15,985,994	$62,690	5.76%	2008
Stonebridge Flats	Buffalo, NY	02/02/2026	218	$24,607,793	$96,501	7.06%	1997
Nautilus Villas	Cincinnati, OH	07/09/2023	210	$35,585,358	$139,550	7.22%	1983
Zephyr Lofts	Tampa, FL	06/16/2025	167	$33,167,854	$130,070	5.90%	2001
Quarry Apartments	Portland, OR	11/25/2022	330	$26,528,161	$104,032	5.07%	2018
Beacon Residences	Kansas City, MO	09/25/2022	270	$39,849,271	$156,272	5.00%	2021
Upland Residences	Albany, NY	06/28/2026	316	$18,594,910	$72,921	6.77%	1968
Saddlebrook Residences	Norfolk, VA	01/10/2023	336	$42,288,431	$165,837	7.17%	1982
Summit Villas	Albuquerque, NM	03/10/2025	289	$32,078,373	$125,798	5.71%	1986
Marlow Flats	St. Louis, MO	05/12/2022	217	$33,282,210	$130,518	7.82%	2009
Marlow Villas	Nashville, TN	04/14/2023	253	$29,592,289	$116,048	5.08%	2007
Canyon Flats	Cleveland, OH	12/02/2023	303	$32,206,854	$126,301	7.43%	1985
Canyon Commons	Milwaukee, WI	01/22/2026	138	$23,326,937	$91,478	7.74%	2007
Wexford Terrace	Raleigh, NC	07/25/2023	144	$17,058,561	$66,896	6.31%	1970
Crestline Flats	Aurora, CO	06/23/2025	136	$35,507,167	$139,244	5.43%	2022
Newport Residences	Grand Rapids, MI	10/23/2025	320	$36,982,788	$145,031	5.37%	1966
Prairie Residences	Indianapolis, IN	10/18/2022	179	$19,307,065	$75,714	5.94%	1968

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Improvements Description

Resident turnover has averaged 11.1% annually with renewal retention above 94.0%. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Common area interiors have been refreshed within the last 7 years and are in average to good condition. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Mechanical systems include rooftop package units and central plant equipment of varying age.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Indigo Apartments was originally constructed in 1967 and consists of 255 apartment homes in a building of 23 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. Resident turnover has averaged 12.8% annually with renewal retention above 88.1%.

Operating Performance

Operating expenses totaled $211,000 or approximately 43.83 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 8.16% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $343,000, representing a 5.6% increase over the prior year. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 4.6% annually with renewal retention above 92.9%. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period.

Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 7.26% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.61x on a trailing basis against a covenant minimum of 1.20x.

Building Systems

Common area interiors have been refreshed within the last 3 years and are in average to good condition. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Indigo Apartments was originally constructed in 1967 and consists of 255 apartment homes in a building of 27 stories. The roof is a 47-year membrane system with an estimated remaining useful life of 11 years. Resident turnover has averaged 3.5% annually with renewal retention above 88.4%.

Financial Analysis

Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Resident turnover has averaged 7.0% annually with renewal retention above 92.2%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $477,000, representing a 6.6% increase over the prior year.

Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. Operating expenses totaled $111,000 or approximately 23.88 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 8.06x on a trailing basis against a covenant minimum of 1.20x. Resident turnover has averaged 2.1% annually with renewal retention above 95.7%. The going-in capitalization rate of 7.61% reflects the in-place income and the stabilized occupancy assumption.

Building Systems

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 5 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. Indigo Apartments was originally constructed in 1967 and consists of 255 apartment homes in a building of 36 stories.

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